

# Market Brief: April 2026 FOMC Rate Hold and Post-Meeting Dynamics

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**Date:** May 24, 2026

**Event:** FOMC April 29, 2026 Decision

**Asset Classes Covered:** Equities, Fixed Income, FX, Commodities

**Analyst Lens:** Rate-sensitive equities, sector rotation, EM FX exposure

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## 1. Executive Summary

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The Federal Reserve held the federal funds rate at **3.50-3.75%** at its April 29, 2026 meeting, an outcome universally expected by consensus. The policy statement and Chair Powell's press conference signaled solid economic growth, a softening but stable labor market (unemployment at approximately **4.3%**), and an inflation uptick driven by global energy prices and Middle East geopolitical developments. One dissenter (Miran) preferred an immediate **25bp** cut, introducing internal pressure for easing.

Contrary to a simplistic "higher-for-longer implies defensive" narrative, post-FOMC markets staged a decisive **risk-on rotation**. The Nasdaq-100 (QQQ) surged **+8.46%**, nearly doubling the S&P 500's **+4.79%** gain. Utilities (XLU) were the only sector to fall (**-0.72%**), and the SPY-10Y yield correlation tightened to an extreme **-0.90** (vs. YTD average of **-0.39**), demonstrating that rates became the dominant equity pricing variable post-meeting.

The market interpreted the outcome as "hold now, cut later" — focusing on the dissenting vote, flexible forward guidance, and absence of tightening bias. This narrative faces its first major test with the upcoming May PCE (ex-energy) print. A hot PCE reading would unravel the cut-hope thesis and, given the extreme rate-equity correlation regime, could trigger rapid equity drawdowns. Scenario modeling indicates a moderate-hot PCE (**0.25-0.30%** MoM ex-energy) implies a **-5.1%** SPY drawdown, with small caps (IWM) facing **-9.4%** downside.

Within mega-cap tech, extreme dispersion has emerged: AAPL (**+14.41%** post-FOMC, at **100%** of 52w high) stands opposite META (**-8.80%**, at **82.7%** of 52w high). Financials show a similar divide — Goldman Sachs (**+10.06%**) benefitting from M&A optimism while consumer banks JPM (**-0.93%**) and BAC (**-2.04%**) lag on loan growth concerns.

The DXY has remained supported at **99.32**, crude oil has pulled back **-9.62%** post-FOMC from energy-spike highs, and gold is essentially flat. EM FX faces headwinds from USD strength and Middle East risk premia.

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## 2. Methodology

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### Date Ranges

| Scope              | Start Date                       | End Date                   | Source   |
|--------------------|----------------------------------|----------------------------|----------|
| YTD                | Jan 1, 2026                      | May 22, 2026               | yfinance |
| Post-FOMC Window   | Apr 29, 2026                     | May 22, 2026               | yfinance |
| Daily Refresh      | May 23 close                     | May 24 close               | yfinance |
| Scenario Betas     | Trailing 30 days to May 22, 2026 | Rolling computation        | yfinance |
| Correlation Window | Trailing 30 days to May 22, 2026 | SPY vs. ^TNX daily returns | yfinance |

### Models and Data Sources

- **Primary data provider:** yfinance **1.4.0**
- **FOMC source documents:** Federal Reserve press release (monetary20260429a.htm) and press conference transcript (FOMCpresconf20260429.pdf)
- **Scenario model:** Three-way cross-validation: (A) 30-day rolling beta regression of SPY vs. ^TNX daily returns; (B) Historical analog scaling using Sep-Nov **2023** as baseline (correlation multiplier **1.71x**); (C) Multi-day compound factor (**1.5x** to **2.0x**) for sustained repricing
- **Correlation regime analysis:** Rolling 30-day Pearson correlation, SPY daily return vs. 10Y yield daily return
- **Historical analogs:** Jul-Oct **2023** (10Y **3.86%** to **4.99%**), Sep-Nov **2023** (**4.17%** to **4.99%**), Jan-Jun **2022** (**1.63%** to **3.48%**), Jan-Mar **2025** (tariff-confounded)
- **Sector and single-stock betas:** 30-day trailing beta of daily return vs. ^TNX daily return
- **Taxonomy:** Compliant with controlled vocabulary per taxonomy.md

### Confidence Level

**Medium** overall. The FOMC source text analysis is high-confidence; market data through May 22 is verified. Sector/EM FX implications involve reasoned inference beyond explicit policy text. Scenario modeling confidence is medium-high given the extreme correlation regime and cross-validation across three models. Key caveat: betas and correlations shift rapidly in high-correlation regimes, requiring weekly re-estimation.

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### 3. Rates

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#### 3.1 The April FOMC Decision

The Committee held the federal funds rate at **3.50-3.75%**. Key language from the statement:

- "Economic activity has been expanding at a solid pace"
- "Job gains have remained low; the unemployment rate has been little changed" (approximately **4.3%**)
- Inflation "elevated, in part reflecting the recent increase in global energy prices"
- Middle East developments contributing to "a high level of uncertainty about the economic outlook"
- One dissenter (Miran) preferred a **25bp** cut
- Powell characterized current stance as "appropriate" with data-dependent flexibility

#### 3.2 Yield Curve Evolution

The 10-year yield (^TNX) has risen **+21bp** from pre-FOMC levels to **4.56%**, and **+37bp** YTD. The 5Y (^FVX) at **4.26%** is up **+52bp** YTD, while the 3M (^IRX) at **3.59%** has risen only **+6bp** YTD — a bear-steepening profile.

#### Rate Benchmarks — Post-FOMC Window (Apr 29 to May 22, 2026)

Table 1: Rate benchmarks from pre-FOMC close through May 22, 2026. Data via yfinance.

| Instrument       | Pre-FOMC (Apr 29) | Current (May 22) | Post-FOMC Change | YTD Change   |
|------------------|-------------------|------------------|------------------|--------------|
| 10Y Yield (^TNX) | <b>4.35%</b>      | <b>4.56%</b>     | <b>+21bp</b>     | <b>+37bp</b> |
| 5Y Yield (^FVX)  | --                | <b>4.26%</b>     | --               | <b>+52bp</b> |
| 3M Yield (^IRX)  | --                | <b>3.59%</b>     | --               | <b>+6bp</b>  |

#### 3.3 Critical Thresholds

The post-FOMC analysis identifies **4.75%** on the 10Y\*\* as the threshold that triggers a rapid unwind of the risk-on rally. The **4.67%** 52-week high on the 10Y is the immediate resistance level. A break above **4.75%** would produce non-linear forced liquidation effects (gamma, momentum-driven selling) given the extreme **-0.84** to **-0.90** SPY-10Y correlation regime.

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## 4. Equities by Sector

### 4.1 Broader Market and Sector Returns

#### Post-FOMC Performance (Apr 29 to May 22, 2026)

Table 2: Sector and broad market ETF returns from April 29 FOMC decision through May 22, 2026. Data via yfinance.

| Ticker | Sector / Index  | YTD Return | Post-FOMC Return | % of 52w High |
|--------|-----------------|------------|------------------|---------------|
| QQQ    | Nasdaq-100      | +17.18%    | +8.46%           | 99.7%         |
| IWM    | Small Caps      | +14.81%    | +4.79%           | 99.4%         |
| SPY    | S&P 500         | +9.44%     | +4.79%           | 99.7%         |
| XLRE   | Real Estate     | +11.09%    | +2.11%           | 99.6%         |
| XLY    | Consumer Discr. | +0.90%     | +2.00%           | 95.9%         |
| XLI    | Industrials     | +9.03%     | +1.08%           | 96.3%         |
| XLF    | Financials      | -4.96%     | +0.04%           | 92.6%         |
| XLU    | Utilities       | +5.76%     | -0.72%           | 95.7%         |

The risk-on narrative is unambiguous: QQQ nearly doubled SPY, XLU was the sole decliner, small caps matched large caps, and financials were effectively flat. The market voted that the FOMC hold was dovish leaning.

### 4.2 Technology Sector

#### Post-FOMC Mega-Cap Tech Dispersion (Apr 29 to May 22, 2026)

Table 3: Mega-cap technology stock performance post-FOMC through May 22, 2026. Data via yfinance.

| Ticker | Company  | Price (May 22) | YTD Return | Post-FOMC Return | % of 52w High | 30d Beta to 10Y |
|--------|----------|----------------|------------|------------------|---------------|-----------------|
| AAPL   | Apple    | 308.82         | +14.16%    | +14.41%          | 100.0%        | -0.49           |
| GOOGL  | Alphabet | 382.97         | +21.61%    | +9.44%           | 95.1%         | -0.96           |
| NVDA   | NVIDIA   | 215.33         | +14.03%    | +2.91%           | 91.3%         | -1.00           |
| AMZN   | Amazon   | 266.32         | +17.58%    | +1.25%           | 96.8%         | -0.56           |

| Ticker | Company   | Price<br>(May 22) | YTD<br>Return | Post-<br>FOMC<br>Return | % of 52w<br>High | 30d Beta<br>to 10Y |
|--------|-----------|-------------------|---------------|-------------------------|------------------|--------------------|
| MSFT   | Microsoft | 418.57            | -11.10%       | -1.17%                  | 87.0%            | +0.03              |
| META   | Meta      | 610.26            | -6.09%        | -8.80%                  | 82.7%            | -0.24              |

### Single-Stock Deep Dives:

- **AAPL**: The standout performer post-FOMC at **+14.41%**, hitting **100%** of its 52-week high. Multiple compounding tailwinds: aggressive buybacks, AI positioning, and minimal tariff exposure relative to peers. However, AAPL has a moderate rate beta of **-0.49** and is at peak valuation — a hot PCE could break it below \$300. Sentiment: bullish but price vulnerable to macro shock.
- **MSFT**: The worst mega-cap performer YTD (**-11.10%**) at **87.0%** of 52w high. Near-zero rate beta (**+0.03**) means its underperformance is stock-specific — AI capex concerns and market skepticism about monetization timelines. In a hot-PCE scenario, MSFT is a relative safe haven within tech because it has already priced in much of the downside. Sentiment: neutral with tactical long potential as a rate-hedge pair.
- **NVDA**: **+14.03%** YTD but only **+2.91%** post-FOMC — underwhelming for the AI bellwether. High rate beta (**-1.00**) makes it a tactical short candidate on a hot PCE. At **91.3%** of 52w high, it has room to fall. Sentiment: neutral/bearish tactically, but long-term AI thesis intact.
- **META**: The post-FOMC outlier — **-8.80%** while tech rallied. At **82.7%** of 52w high, it has completely decoupled from macro. Low rate beta (**-0.24**) confirms the selloff is driven by company-specific concerns: capex skepticism, AI ROI uncertainty, and potential regulatory headwinds. Sentiment: bearish near-term; the divergence from sector peers demands catalyst.
- **GOOGL**: Strongest YTD at **+21.61%** with **+9.44%** post-FOMC. Ad revenue momentum and low rate sensitivity relative to peers. However, high rate beta (**-0.96**) makes it vulnerable to a yield spike. Sentiment: bullish on fundamentals, but a hot PCE would hit it disproportionately.
- **AMZN**: Muted post-FOMC at **+1.25%** despite **+17.58%** YTD. Moderate rate beta (**-0.56**). Retail and AWS both face rate-driven consumption/capex headwinds. Sentiment: neutral.

## 4.3 Financials Sector

### Post-FOMC Bank Performance (Apr 29 to May 22, 2026)

Table 4: Bank stock performance post-FOMC through May 22, 2026. Data via yfinance.

| Ticker | Bank            | Price<br>(May 22) | YTD<br>Return | Post-<br>FOMC<br>Return | % of 52w<br>High | 30d Beta<br>to 10Y |
|--------|-----------------|-------------------|---------------|-------------------------|------------------|--------------------|
| GS     | Goldman Sachs   | 996.73            | +9.58%        | +10.06%                 | 100.0%           | -1.35              |
| JPM    | JPMorgan Chase  | 306.38            | -4.96%        | -0.93%                  | 92.0%            | -0.51              |
| BAC    | Bank of America | 51.80             | -6.89%        | -2.04%                  | 91.0%            | -0.34              |

- **GS**: The investment bank rally is on. **+10.06%** post-FOMC at **100%** of 52w high, driven by M&A and banking fee optimism. However, GS has the **highest rate beta in the entire coverage universe** at **-1.35**, meaning it is trading as a valuation proxy (P/E multiple compression risk) rather than on earnings composition. A **25bp** yield spike implies **-12.7%** downside to approximately **\$870**. Sentiment: tactical short; do not buy the dip post-PCE.
- **JPM**: Negative YTD (**-4.96%**), flat post-FOMC. Consumer bank headwinds from higher-for-longer rates compressing net interest margins and slowing loan growth. Sentiment: cautious, neutral.
- **BAC**: Weakest major bank at **-6.89%** YTD and **-2.04%** post-FOMC. The consumer-focused franchise is most exposed to deposit cost pressure without offsetting fee income. Sentiment: bearish near-term.

## 4.4 Real Estate Sector

### Post-FOMC REIT Performance (Apr 29 to May 22, 2026)

Table 5: Real estate sector and selected REITs post-FOMC through May 22, 2026. Data via yfinance.

| Ticker | Name               | Price<br>(May 22) | YTD<br>Return | Post-<br>FOMC<br>Return | % of 52w<br>High | 30d Beta<br>to 10Y |
|--------|--------------------|-------------------|---------------|-------------------------|------------------|--------------------|
| XLRE   | Real Estate Sector | 44.56             | +11.18%       | +2.11%                  | 99.6%            | -0.49              |
| PLD    | Prologis           | 145.90            | +15.21%       | +5.10%                  | 100.0%           | -0.81              |
| EQIX   | Equinix            | --                | +42.79%       | -0.36%                  | 97.3%            | --                 |

- **XLRE**: **+2.11%** post-FOMC despite the 10Y rising **+21bp**. REITs are not trading uniformly as rate proxies — demand-side momentum in data center, industrial, and tower sub-sectors offsets discount rate pressure. The critical threshold is

**4.75%** on the 10Y; below that, REITs hold up. Sentiment: neutral, conditionally bearish above 4.75%.

- **PLD**: Industrial/logistics REIT at **100%** of 52w high with a high rate beta (**-0.81**). Structural demand tailwinds from supply-chain reshoring and e-commerce, but vulnerable to a yield spike. A **25bp** PCE-driven spike implies **-7.6%**. Sentiment: tactical short on hot PCE; long-term hold.
- **EQIX**: Data center REIT, up **+42.79%** YTD. Consolidated slightly post-FOMC (**-0.36%**). AI data center demand provides a structural bid that overrides rate sensitivity in the current range. Sentiment: bullish.

## 4.5 Utilities Sector

### Post-FOMC Utility Performance (Apr 29 to May 22, 2026)

Table 6: Utility sector and selected holdings post-FOMC through May 22, 2026. Data via yfinance.

| Ticker | Name                | Price<br>(May 22) | YTD<br>Return  | Post-<br>FOMC<br>Return | % of 52w<br>High | 30d Beta<br>to 10Y |
|--------|---------------------|-------------------|----------------|-------------------------|------------------|--------------------|
| XLU    | Utilities<br>Sector | <b>45.35</b>      | <b>+6.97%</b>  | <b>-0.72%</b>           | <b>95.7%</b>     | <b>-0.23</b>       |
| NEE    | NextEra<br>Energy   | <b>88.55</b>      | <b>+11.05%</b> | <b>-5.97%</b>           | <b>90.5%</b>     | <b>-0.14</b>       |

XLU was the only sector ETF to decline post-FOMC. Money rotated out of defensives into risk-on tech. Notably, XLU has a low rate beta (**-0.23**) — the sector has already been sold and may actually attract a defensive bid if a hot PCE triggers a macro risk-off trade. NEE underperformed the sector, shedding **-5.97%** post-FOMC. Sentiment: neutral near-term; potential retail-x rotation beneficiary.

## 4.6 Consumer Defensive

- **WMT**: **-5.87%** post-FOMC. Near-zero rate beta (**+0.01**). The selloff reflects rotation out of consumer defensives into risk-on assets, plus company-specific margin compression concerns. In a hot-PCE risk-off scenario, WMT could see a defensive bid. Sentiment: neutral, tactical pair candidate (long WMT / short IWM for rate-hedge exposure).
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## 5. Sector Rotation

### 5.1 Post-FOMC Capital Flows

The **\$2.3** trillion question: why did higher-for-longer trigger a risk-on move? Three factors:

1. **Dissent signaling**: The lone vote for a **25bp** cut was interpreted as a leading indicator that the Committee's next move is down, not up.
2. **Dovish flexibility**: Powell's "prepared to adjust the stance... if risks emerge" language was read as easing optionality.
3. **Absence of tightening**: No explicit tightening bias, no hawkish dot plot revision (not detailed in source documents but inferred from tone).

The rotation pattern:

- **Out of**: Utilities (XLU **-0.72%**), Consumer defensive (WMT **-5.87%**), Long-duration treasuries (TLT **-0.83%** post-FOMC)
- **Into**: Tech (QQQ **+8.46%**), Small caps (IWM **+4.79%**), Broad market (SPY **+4.79%**)
- **Flat/inconclusive**: Financials (XLF **+0.04%**), Real Estate (XLRE **+2.11%** — held up better than expected)

### 5.2 The Correlation Regime Shift

#### SPY-10Y Yield Correlation

Table 7: Rolling 30-day Pearson correlation between SPY daily returns and <sup>^</sup>TNX daily returns. Data via yfinance.

| Period                       | SPY vs. 10Y Correlation | Interpretation                          |
|------------------------------|-------------------------|-----------------------------------------|
| YTD (Jan 1 to May 22)        | <b>-0.39</b>            | Moderate rate sensitivity               |
| Post-FOMC (Apr 29 to May 22) | <b>-0.90</b>            | Extreme — rates dominate equity pricing |
| 30-day trailing (to May 22)  | <b>-0.84</b>            | Still historically extreme              |

At **-0.90** post-FOMC and **-0.84** on a trailing 30-day basis, the SPY-10Y correlation is approximately **2.3x** the YTD average. This is the highest negative correlation in the dataset — surpassing the Sep-Nov **2023** peak of **-0.49**. It implies that nearly every equity move is currently explained by rate direction.

### 5.3 What Would Reverse the Rotation?

The rotation is fragile and conditional on the "cut later" narrative remaining intact. A hot May PCE (ex-energy) that disproves the transitory energy-inflation thesis would force a re-evaluation. Scenario modeling places the probability-weighted expected SPY return at



**-4.8%** conditional on a hot print, ranging from **-4.1%** (light hot) to **-6.2%** (severe). The 10Y breaching **4.75%** would trigger non-linear selling beyond proportional model estimates.

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## 6. FX and Commodities

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### 6.1 Currency Markets

#### FX and Dollar Index — Post-FOMC (Apr 29 to May 22, 2026)

Table 8: Currency and dollar index performance through May 22, 2026. Data via yfinance.

| Ticker   | Instrument         | Price (May 22) | Post-FOMC Change | YTD Change |
|----------|--------------------|----------------|------------------|------------|
| DXY      | US Dollar Index    | 99.32          | +0.40%           | +1.06%     |
| GBPUSD=X | GBP/USD            | 1.3466         | -0.43%           | -0.01%     |
| EURUSD   | EUR/USD (inferred) | --             | --               | --         |

The DXY has remained supported at **99.32**, reflecting the US rate differential advantage reinforced by the FOMC hold. The **+0.40%** post-FOMC move is modest, consistent with an as-expected decision. GBP/USD edged lower (**-0.43%**) and is essentially flat YTD.

#### EM FX Implications:

The combination of higher US rates, USD support, and Middle East geopolitical risk creates a classic negative setup for EM currencies:

- Oil-importing EMs face input cost inflation and currency depreciation pressure
- Currencies with high USD debt loads (BRL, ZAR, TRY) are particularly vulnerable
- Central banks in these economies may respond with their own tightening or FX intervention
- Commodity exporters (some LATAM, MENA) may benefit from higher oil but face USD strength as an offset
- The uncertainty overlay from Middle East developments widens risk premia, increasing EM FX volatility

### 6.2 Commodities

#### Commodity Markets — Post-FOMC (Apr 29 to May 22, 2026)

Table 9: Commodity futures performance through May 22, 2026. Data via yfinance (GC=F and CL=F).

| Ticker | Commodity       | Price (May 22)    | Post-FOMC Change | YTD Change     |
|--------|-----------------|-------------------|------------------|----------------|
| GC=F   | Gold (COMEX)    | <b>\$4,523.20</b> | <b>-0.48%</b>    | <b>+4.57%</b>  |
| CL=F   | Crude Oil (WTI) | <b>\$96.60</b>    | <b>-9.62%</b>    | <b>+68.23%</b> |

- **Gold:** Essentially flat post-FOMC at **\$4,523.20**. The expected safe-haven bid from geopolitical uncertainty has been offset by the USD support from higher rates. Gold is range-bound until either the dollar weakens (rate cuts) or geopolitical risks escalate materially.
- **Crude Oil:** The **-9.62%** post-FOMC pullback from spike highs is significant. WTI at **\$96.60** is still up **+68.23%** YTD, driven by Middle East risk premia. The FOMC's explicit mention of energy-driven inflation suggests the Fed is watching oil closely. A sustained oil decline would ease inflation concerns and support the "cut later" narrative; a renewed spike would reinforce higher-for-longer. Crude remains the key swing variable for both the macro outlook and EM FX.

## 7. Outlook

### 7.1 Short-Term Risks

| Risk                          | Probability            | Impact                                  | Trigger                         | Mitigant                                   |
|-------------------------------|------------------------|-----------------------------------------|---------------------------------|--------------------------------------------|
| Hot May PCE (ex-energy)       | <b>30-50%</b>          | SPY <b>-4.8%</b> (conditional)          | PCE > <b>0.20%</b> MoM          | Low positioning / high cash levels         |
| 10Y breach above <b>4.75%</b> | Elevated if PCE hot    | Non-linear selling, forced liquidations | PCE + <b>25bp</b> yield spike   | Historical analog suggests transient spike |
| Middle East escalation        | Medium                 | Oil spike, USD surge, EM FX crisis      | Geopolitical event              | Diplomatic de-escalation                   |
| META contagion to tech        | Medium                 | Sector-wide rotation out of mega-cap    | Continued META underperformance | Stock-specific, not sector-wide            |
| Consumer bank NIM compression | Medium-High if hot PCE | JPM, BAC further downside               | Next earnings season            | Steeper benefit partially offsets          |

#### Watchpoints:

1. May PCE (ex-energy) — the single most important data point for the near-term macro

narrative

2. 10Y yield at **4.56%** — a move above **4.67%** (52w high) and especially **4.75%** triggers the unwind
3. META price action — recovery or further decoupling signals sector-wide vs. company-specific regime
4. DXY trajectory above **100** — would trigger EM FX stress
5. Crude oil: sustained below **\$90** supports the "transitory energy inflation" thesis

## 7.2 Long-Term Strategic Rationale

Despite near-term risks, several structural factors support a constructive long-term view:

- **The "cut later" narrative has foundation:** The dissenting vote, data-dependent language, and softening labor backdrop all point toward eventual easing once the energy-inflation spike proves transitory
- **Sector-level differentiation is key:** Data center REITs (EQIX), industrial REITs (PLD), and investment banks (GS) have company-specific demand drivers that can partially override macro headwinds — as seen post-FOMC
- **EM FX recovery play:** If/when the Fed cuts, the USD should weaken, providing a powerful tailwind for EM currencies and rate-sensitive equities. Positioning for this "recovery phase" is the long-term opportunity
- **Small caps could lead the recovery:** IWM has the highest rate sensitivity (-1.00 beta) and would be the biggest beneficiary of a rate cut cycle
- **Gold remains a strategic hedge:** Flat post-FOMC but supported structurally by central bank buying, geopolitical risk, and eventual USD weakness on Fed cuts

## 7.3 Scenario-Weighted Positioning Summary

| Scenario                              | Probability          | Key Trades                                          | Expected SPY               |
|---------------------------------------|----------------------|-----------------------------------------------------|----------------------------|
| PCE cool, "cut later" intact          | <b>50-70%</b>        | Long QQQ, long IWM, short XLU                       | <b>+2-4%</b>               |
| PCE hot, yield spike to <b>4.75%+</b> | <b>30-50%</b>        | Short IWM, short GS, short NVDA; long MSFT as hedge | <b>-4.8%</b> (conditional) |
| Middle East escalation                | <b>15-25%</b> (tail) | Long gold, long crude, short EM FX                  | <b>-5-8%</b>               |

### Actionable calls:

- **Tactical short on hot PCE:** IWM, GS, NVDA, GOOGL (highest rate beta)
- **Relative value hedges:** Long WMT / short IWM; Long MSFT / short GOOGL
- **Sector rotation:** Reduce QQQ toward XLF (steepener benefit partially offsets rate-equity correlation)
- **Avoid:** REITs if 10Y stays above **4.75%**; consumer banks (JPM, BAC) until Q2 earnings clarify NIM trajectory

- **Strategic long:** Gold on dips for geopolitical hedge; small caps (IWM) for recovery positioning

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## Data Sources

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| Source                                      | Usage                                                                                      | Version / Format                            |
|---------------------------------------------|--------------------------------------------------------------------------------------------|---------------------------------------------|
| Federal Reserve Press Release               | FOMC decision text, policy language                                                        | HTML, monetary20260429a.htm                 |
| Federal Reserve Press Conference Transcript | Powell remarks, Q&A                                                                        | PDF via pdftotext, FOMCpresconf20260429.pdf |
| yfinance                                    | All price, return, and yield data                                                          | yfinance <b>1.4.0</b>                       |
| Trailing 30-day rolling regression          | SPY vs. ^TNX beta                                                                          | Python, scripts/compute_scenario.py         |
| Trailing 30-day rolling correlation         | SPY vs. ^TNX Pearson correlation                                                           | Python, scripts/compute_scenario.py         |
| Historical analog analysis                  | Jul-Oct 2023, Sep-Nov 2023, Jan-Jun 2022, Jan-Mar 2025                                     | Model calibration                           |
| Prior reports                               | analysis.md, report.md, post-fomc-market-analysis.md, hot-pce-scenario.md, data-refresh.md | Markdown                                    |

**Span classes applied: up (green/bold), down (red/bold), num (navy/bold).** No emojis used.

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